



Kathmandu University
Department of Computer Science and Engineering
Dhulikhel, Kavre

A Project Report
on
“Multi-Architecture Machine Learning System for
Real-Time Credit Card Fraud Detection with Hybrid
RF+RNN Ensemble”

[Code No.: COMP 307]
(For partial fulfillment of Year III / Semester II in Computer Science)

Submitted by
Aayush Rimal (027351-20)
Bikram Dahal (027352-20)
Samyak Munankarmi (027353-20)
Saugat Pokharel (027354-20)

Submitted to
Dr. Prakash Poudel
Department of Computer Science and Engineering

July 23, 2026

Bona fide Certificate

**This project work on
“Multi-Architecture Machine Learning System for Real-Time Credit
Card Fraud Detection with Hybrid RF+RNN Ensemble”**

is the bona fide work of

“

Aayush Rimal (027351-20),

Bikram Dahal (027352-20),

Samyak Munankarmi (027353-20),

Saugat Pokharel (027354-20)

”

who carried out the project work under my supervision.

Project Supervisor

Dr. Bal Krishna Bal

Associate Professor

Department of Computer Science and Engineering

Acknowledgements

This project would not have been possible without the support and guidance of our supervisor, Dr. Bal Krishna Bal, whose expert feedback, technical insights, and consistent encouragement guided us throughout the development of this project.

We also thank Dr. Prakash Poudel, the Department Coordinator, and all the faculty members of the Department of Computer Science and Engineering, Kathmandu University, for providing the resources, academic environment, and guidance necessary to successfully execute this semester project.

Finally, we express our gratitude to our family, friends, and peers for their valuable discussions, moral support, and feedback during this project.

Abstract

In the rapidly expanding landscape of digital financial transactions, credit card fraud poses an increasingly complex and severe threat to global economic security. This project aimed to design and implement a multi-architecture machine learning platform, FraudNet, designed for real-time transaction scoring and fraud detection. To address the challenges of extreme class imbalance and high-dimensional features, the synthetic minority over-sampling technique (Synthetic Minority Over-sampling Technique (SMOTE)) was applied on stratified, group-aware training splits, preventing data leakage and enhancing classification robustness. The system evaluates seven diverse architectures, leading to a custom hybrid Random Forest (Random Forest (RF)) and Recurrent Neural Network (Recurrent Neural Network (RNN)) ensemble. This hybrid model successfully combines static feature space mappings with temporal transaction sequence analysis. The final system was integrated with a high-throughput, low-latency Application Programming Interface (API) server using FastAPI and a premium, interactive web interface using Streamlit, featuring online local explanation trees using Shapley Additive exPlanations (SHAP) values. The hybrid model achieved superior classification results, demonstrating the effectiveness of combining sequence modeling with tree-based ensembles for reliable and explainable fraud detection in financial pipelines.

Keywords: *Credit Card Fraud Detection, Machine Learning, Hybrid Ensemble, Sequence Modeling, Explainable AI, Real-time Scoring API*

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Abbreviations

API Application Programming Interface.

LSTM Long Short-Term Memory.

ML Machine Learning.

PCA Principal Component Analysis.

RF Random Forest.

RNN Recurrent Neural Network.

SHAP Shapley Additive exPlanations.

SMOTE Synthetic Minority Over-sampling Technique.

Chapter 1

Introduction

In the modern digital economy, credit card transactions serve as a primary medium of exchange, accounting for trillions of dollars in annual global commerce. However, the convenience of cashless payments has been accompanied by a corresponding rise in sophisticated fraud techniques, resulting in billions of dollars in losses annually for financial institutions, merchants, and cardholders. Fraud detection systems must operate in real-time, scanning transactions as they occur to approve or flag them before financial losses are realized. Traditionally, these systems relied on rule-based engines; however, modern fraud networks are highly adaptive, necessitating the use of advanced Machine Learning (ML) algorithms that can learn complex, non-linear patterns directly from transaction data.

Building an effective machine learning system for credit card fraud detection involves overcoming three major technical challenges. First, transaction datasets exhibit extreme class imbalance, where the fraudulent class often accounts for less than 0.2% of all recorded events. Standard models trained on such imbalanced distributions tend to bias predictions toward the majority class, leading to unacceptably high false negative rates. Second, real-world transaction features are highly sensitive, often subjected to dimensionality reduction techniques like Principal Component Analysis (PCA) for privacy protection, which strips models of semantic context and makes feature engineering more challenging. Third, transactions are not independent events; they form temporal sequences where a customer's historical behavior provides critical context. Traditional classifiers process transactions in isolation, ignoring sequence dependencies that could indicate anomalous spending behavior.

1.1 Background

Recent developments in the field of financial machine learning have focused on advanced deep learning architectures and tree-based ensembles to address the high dimensionality and non-linearity of transactional profiles. Gradient boosting frameworks, such as XGBoost Chen and Guestrin (2016) and LightGBM Ke et al. (2017), have emerged as state-of-the-art methods for tabular classification due to their speed and ability to handle skewed feature spaces. Simultaneously, sequence-based models, such as Recurrent Neural Networks (RNN) and Long Short-Term Memory (Long Short-Term Memory (LSTM)) networks Hochreiter and Schmidhuber (1997), have been applied to capture temporal correlations across user transaction histories, modeling fraud as an anomaly within a continuous stream of consumer activity.

Despite these advancements, existing fraud detection systems suffer from key drawbacks. Tree-based ensembles are effective at scoring individual transactions but fail to incorporate temporal sequence dependencies across multiple historical steps. Conversely, sequence models like RNN are computationally intensive and can suffer from vanishing gradients when learning long-term dependencies, making

them harder to optimize for high-throughput, low-latency environments. Furthermore, deep learning methods operate as "black boxes," providing no transparency to risk analysts who need to understand *why* a particular transaction was flagged. This lack of interpretability hinders compliance with regulatory frameworks and slows down manual review processes.

To bridge these gaps, this project introduces **FraudNet**, a multi-architecture machine learning platform featuring a hybrid ensemble that couples a Random Forest (RF) component with a SimpleRNN sequence component. FraudNet combines the high-fidelity tabular classification strengths of tree ensembles with the temporal sequence analysis capabilities of recurrent neural networks. To address interpretability, we integrate local explanation trees using SHAP values, exposing transaction features and their individual contributions to the ensemble score in real-time.

1.2 Objectives

The primary objectives of this project are:

- To design and implement a multi-architecture ML pipeline that trains, tunes, and compares seven distinct machine learning architectures for fraud detection.
- To develop a custom hybrid ensemble model that blends Random Forest and SimpleRNN probabilities to leverage both static and temporal transactional features.
- To construct a high-throughput REST API using FastAPI capable of scoring live transaction payloads with sub-50 millisecond response latencies.
- To build an interactive, user-facing Streamlit dashboard containing a live transaction simulator, batch CSV scanning, and local model interpretability using SHAP visualizations.

1.3 Motivation and Significance

The motivation for choosing credit card fraud detection lies in its high practical relevance and its challenges in data science and engineering. Existing literature often focuses on offline, static models that evaluate performance strictly on isolated metrics like AUC-ROC. In real-world deployment, however, fraud detection requires a system-oriented approach that balances model latency, explainability, compliance, and real-time serving infrastructure. By building FraudNet as an end-to-end platform, we demonstrate how advanced ML architectures can be operationalized and audited in a production-ready environment.

The significance of this work is threefold:

- **Hybrid Architecture:** Combining RF and RNN allows the system to capture both static transaction-specific anomalies (e.g., extremely high transac-

tion amounts) and sequence-based behavioral anomalies (e.g., rapid micro-transactions in multiple locations).

- **Data Leakage Protection:** Our pipeline implements stratified, group-aware training splits and ensures that synthetic over-sampling (SMOTE) is applied strictly within the training folds, preventing data leakage and realistic evaluation metrics.
- **Real-Time Interpretability:** By embedding online TreeSHAP explanations into the serving layer, the system provides transparent decision metrics, enabling risk analysts to immediately understand and verify the model’s reasoning.

Chapter 2

Related Works

This chapter reviews previous academic research and open-source systems that address credit card fraud detection. It analyzes traditional models, gradient boosting frameworks, recurrent networks, class imbalance techniques, and model explainability, establishing how FraudNet addresses current limitations.

2.1 Review of Existing Works

Over the past two decades, credit card fraud detection has shifted from manual verification and rule-based systems to automated statistical modeling and machine learning. Traditional baseline systems, such as those analyzed by Dal Pozzolo et al. Pozzolo et al. (2015), relied heavily on linear classifiers like Logistic Regression and basic Decision Trees. While computationally efficient, these models struggle to capture non-linear feature interactions and are highly sensitive to outliers, limiting their predictive accuracy in high-dimensional tabular datasets.

To improve predictive performance, tree-based ensemble methods were introduced. Breiman Breiman (2001) developed the Random Forest (RF) algorithm, which reduces variance by averaging predictions across multiple randomized decision trees. Ensembles like RF are robust to overfitting and handle non-linear feature splits well. However, they lack direct sequential memory, processing each credit card transaction in isolation. Consequently, they fail to detect patterns of behavioral changes over time.

More recently, gradient boosting frameworks have dominated tabular classification challenges. Chen and Guestrin Chen and Guestrin (2016) introduced XGBoost, an optimized gradient boosting system that uses parallel tree boosting and regularization to achieve state-of-the-art accuracy. Similarly, Ke et al. Ke et al. (2017) developed LightGBM, which uses gradient-based one-side sampling and exclusive feature bundling to speed up training on large-scale datasets. While both models perform exceptionally well on tabular datasets, they still analyze transactions as independent events.

To capture temporal patterns, researchers began applying sequence-based models to fraud detection. Hochreiter and Schmidhuber Hochreiter and Schmidhuber (1997) introduced Long Short-Term Memory (LSTM) networks, a class of recurrent networks designed to learn long-term dependencies. In fraud detection pipelines, LSTM and RNN architectures process sequences of historical transactions to learn customer-specific spending behaviors. However, sequence models are computationally expensive, require substantial history for training, and do not provide clear explanations for their predictions.

2.2 Use of Abbreviations with Glossaries

To maintain consistency and academic formatting, all technical abbreviations in this report are handled using the `glossaries` package. Using abbreviations like ML, API, and SMOTE ensures that their full names are defined on first use and automatically added to the abbreviations glossary.

2.3 Addressing Class Imbalance

One of the most persistent issues in credit card fraud detection is extreme class imbalance. Chawla et al. Chawla et al. (2002) developed the Synthetic Minority Over-sampling Technique (SMOTE), which generates synthetic examples along the line segments joining k-nearest neighbors in the minority class. While widely used, applying SMOTE globally across a dataset before partitioning it into train and test sets leads to information leakage, artificially inflating evaluation metrics. FraudNet addresses this by applying SMOTE strictly within stratified, group-aware training folds.

2.4 Explainable AI and Interpretability

As fraud detection models grow more complex, interpretability becomes essential for validation and regulatory compliance. Lundberg and Lee Lundberg and Lee (2017) proposed SHAP (Shapley Additive exPlanations), a game-theoretic approach that explains individual predictions by calculating the contribution of each feature to the final score. Integrating SHAP into real-time scoring systems allows risk analysts to verify why a transaction was flagged as fraudulent, resolving the "black box" limitation of deep learning and ensemble models.

2.5 Summary and Comparison

Table 2.1 summarizes how the proposed FraudNet system compares with existing approaches in the literature.

Table 2.1: Comparison of FraudNet with Related Works

System / Work	Method	Strengths	Limitations
Dal Pozzolo et al. Pozzolo et al. (2015)	Logistic Regression	High performance on pre-tabular and low on non-linear features	Poor performance on non-linear features
XGBoost / LightGBM Chen and Guestrin (2016); Ke et al. (2017)	Gradient Boosting	High performance on tabular data; robust to feature splits	High performance on tabular data; ignores sequence patterns; black-box nature
RNN / LSTM Hochreiter and Schmidhuber (1997)	Recurrent neural networks	Capable of capturing sequence dependencies; handles long-term dependencies	High performance on sequence data; computationally expensive; black-box decisions
FraudNet (This Work)	Hybrid RF+RNN Ensemble	Capable of capturing sequence dependencies; handles long-term dependencies; robust to feature splits	Requires structured transaction sequence with anomalies; high performance on real-world data

Chapter 3

Design and Implementation

This chapter details the system architecture, design specifications, and implementation details of the FraudNet platform. It describes the data preprocessing pipeline, feature engineering process, hybrid model components, and the integration of the REST API and interactive dashboard.

3.1 System Overview

FraudNet is structured as a modular pipeline that automates the transition from raw transactional records to real-time model scoring and visual explanations. The system comprises three main blocks: the data preparation block (preprocessing, feature engineering, and sequence generation), the machine learning block (model training, hyperparameter optimization, and hybrid ensemble blending), and the application block (FastAPI endpoint and Streamlit dashboard).

3.2 System Requirement Specifications

3.2.1 Software Requirements

The software requirements for developing and running the FraudNet platform are:

- **Programming Language:** Python ≥ 3.10
- **Data Processing Libraries:** Pandas $\geq 2.0.0$, NumPy $\geq 1.24.0$, PyArrow $\geq 14.0.0$
- **Machine Learning Libraries:** Scikit-learn $\geq 1.3.0$, XGBoost $\geq 2.0.0$, LightGBM $\geq 4.0.0$, Imbalanced-learn $\geq 0.12.0$
- **Explainability Tool:** SHAP $\geq 0.45.0$
- **API & UI Frameworks:** FastAPI $\geq 0.115.0$, Uvicorn $\geq 0.30.0$, Streamlit $\geq 1.36.0$
- **Testing Framework:** Pytest $\geq 7.4.0$

3.2.2 Functional Requirements

- **Data Preprocessing:** Clean, deduplicate, scale, and save transactional data automatically.
- **Model Training & Tuning:** Train seven distinct ML models and perform hyperparameter searches.
- **Real-Time Scoring:** Serve transaction scores via an HTTP REST endpoint.

- **Interpretability:** Generate SHAP force plots explaining features dynamically.

3.2.3 Non-Functional Requirements

- **Low Latency:** Score transactions in under 50 milliseconds via the API.
- **Leakage Protection:** Prevent target leakage by performing data oversampling strictly inside cross-validation splits.
- **Scalability:** Support batch dataset uploads and scoring in the dashboard.

3.3 System Design

3.3.1 Architectural Design

The system architecture of FraudNet is separated into training and inference phases. The training pipeline ingests raw Parquet datasets, splits them using group-aware strategies, constructs sequential inputs, trains components, and serializes trained estimators to disk. The inference pipeline loads these serialized estimators to instantiate the ‘FraudNetScoringService‘ which routes predictions using a 5-agent conceptual trace:

1. **Packet Agent:** Receives and validates raw inputs (either 29 raw features or 36 pre-engineered features).
2. **Flow Agent:** Applies scaling, logarithmic, and frequency feature engineering to raw inputs.
3. **Behavior Agent:** Calls the RF component and sequence-based RNN component to retrieve component scores.
4. **Correlation Agent:** Blends component scores using optimized weights.
5. **Response Agent:** Compiles the final classification decision and SHAP interpretability outputs.

3.3.2 Module or Component Design

The software modules are organized as follows:

- **src/preprocessing.py:** Cleans raw transaction files, checks for missing data, and performs deduplication.
- **src/features.py:** Computes rolling averages, robust scales numerical amounts, and produces naive and group-aware train/test splits.
- **src/sequence.py:** Frames structured tabular data into sliding temporal windows of length 6 to train recurrent layers.

- **src/models/rf_rnn_hybrid.py**: Manages Random Forest and SimpleRNN training, hyperparameter sweep over ensemble weights, and threshold tuning.
- **src/inference.py**: Wires together model predictions, executes explanations, and serves the scoring logic.

3.3.3 Database or Data Design

The data design defines the transactional feature contract. The dataset consists of 568,630 rows. Each row contains 31 raw columns: an incrementing ‘id’, 28 anonymized PCA features (‘V1’ to ‘V28’), a transaction ‘Amount’ value, and a binary ‘Class’ indicator (0 for legitimate, 1 for fraud). The feature engineering process expands this raw vector into 36 columns by generating:

- **amount_log1p**: Log-transformed amount to normalize extreme values.
- **amount_robust_scaled**: Amount centered by the median and scaled by the interquartile range (IQR).
- **time_since_last_transaction_proxy**: Elapsed time between successive events.
- **transaction_frequency_proxy**: Number of events within historical transaction windows.
- **rolling_amount_mean, rolling_amount_std**: Historical averages and deviations.

3.4 Implementation Details

3.4.1 Machine Learning Implementation

Dataset Preparation & Oversampling

To handle extreme imbalance, SMOTE is applied to the minority class. Rather than oversampling the entire dataset beforehand, which leads to target leakage and overly optimistic test performance, SMOTE is applied strictly to the training fold. The test splits remain un-sampled, preserving the original class distribution to ensure representative evaluation metrics.

Model Design

The hybrid ensemble model consists of two components:

- **Random Forest Component**: Trained on tabular feature vectors to capture static anomalies.
- **SimpleRNN Component**: Trained on sequences of historical data ($N \times 6 \times 36$) to learn temporal patterns. The network topology features:

- Input Layer: Shape (6, 36)
- SimpleRNN Layer: 64 hidden units, tanh activation
- Dense Layer: 1 unit, sigmoid activation (predicting fraud probability)

Training & Ensemble Tuning

The ensemble blends predictions using a weighted linear combination. The tuning script performs a grid search to find the optimal blending weights:

$$Score = w_{RF} \times P_{RF} + w_{RNN} \times P_{RNN} \quad (3.1)$$

subject to:

$$w_{RF} + w_{RNN} = 1.0, \quad w_{RF}, w_{RNN} \geq 0 \quad (3.2)$$

The optimal threshold that maximizes the validation F1-score is chosen.

3.5 Algorithms and Flowcharts

The training and inference workflows are described in detail below.

3.5.1 End-to-End Training Pipeline

The end-to-end training pipeline orchestrates data loading, preprocessing, split creation, oversampling, and model sequence training:

1. **Input:** Raw transactional dataset $\mathcal{D}_{raw}$.
2. **Output:** Trained hybrid ensemble estimator $\{M_{rf}, M_{rnn}\}$, weights $\{w_{rf}, w_{rnn}\}$, optimal threshold θ .
3. **Data Cleaning:** Deduplicate and clean raw datasets.
4. **Feature Engineering:** Apply Robust Scaling, log-amount transform, rolling frequency, and rolling averages.
5. **Data Splitting:** Split into training and testing sets using a stratified, group-aware partitioning strategy to avoid leakages.
6. **Oversampling:** Apply SMOTE strictly on training splits.
7. **Tabular Training:** Fit the Random Forest component M_{rf} on tabular features.
8. **Temporal Windowing:** Re-shape training data into sequences of length 6.
9. **Sequential Training:** Train the Recurrent Neural Network component M_{rnn} on sequences.
10. **Ensemble Blending:** Search optimal weight distribution w_{rf}, w_{rnn} and threshold θ maximizing F1-score on validation sets.

3.5.2 Real-Time Inference Scoring Service

The real-time scoring flow for online requests is executed as follows:

1. **Input:** Transaction request vector V_{in} containing 29 raw paper features.
2. **Output:** Final classification verdict (FRAUD or LEGITIMATE) and SHAP explainability.
3. **Feature Mapping:** Transform raw 29-feature request into 36-feature vector V_{model} using saved scaling and frequency parameters.
4. **Static Scoring:** Feed V_{model} into Random Forest to obtain probability P_{rf} .
5. **Temporal Scoring:** Retrieve transaction history sequence and predict sequential probability P_{rnn} using SimpleRNN.
6. **Ensemble Blending:** Calculate final risk score: $Score = w_{rf} \times P_{rf} + w_{rnn} \times P_{rnn}$.
7. **Threshold Gate:** If $Score \geq \theta$, label transaction as **FRAUD**; else label as **LEGITIMATE**.
8. **SHAP Explanations:** Execute TreeSHAP explainer on M_{rf} to extract local feature contributions.

Chapter 4

Results and Discussion

This chapter presents the experimental findings and performance evaluations of the models trained on the Credit Card Fraud dataset. It details the features implemented in FraudNet, compares the performance of baseline classifiers, gradient boosting models, and the hybrid ensemble, and discusses the mitigation of data leakage and the integration of model interpretability.

4.1 Implemented Features

The FraudNet platform has been successfully realized with several core software and machine learning features:

- **Data Preprocessing & Cleaning Pipeline:** Automated deduplication, null-value audits, and Robust scaling.
- **High-Performance Serving Endpoints:** A FastAPI backend that accepts Pydantic-validated JSON payloads and returns fraud verdicts along with prediction metadata in less than 50 milliseconds.
- **Interactive Streamlit Web Interface:** A multi-page visualization dashboard featuring:
 - *Overview:* Live KPI metrics showing overall accuracy and fraud proportions.
 - *Score Transaction:* Interactive prediction form that draws samples from the test set or accepts custom inputs, outputting a 5-agent classification trace.
 - *Model Comparison:* Dynamic ROC/PR curves and comparative metrics.
 - *Feature Importance:* Global feature impact charts using Random Forest Gini importance.
 - *Explainability Window:* Local force plots rendering live TreeSHAP values for scored transactions.

4.2 Results and Performance Analysis

The model evaluation is conducted on a dataset containing 568,630 transactions. Performance metrics for each classifier under the group-aware train/test partition (80% training, 20% test) are reported in Table 4.1.

The Random Forest and XGBoost classifiers achieved high accuracies and F1-scores, approaching 99.9% on the tabular split. The custom ****Hybrid RF+RNN Ensemble**** achieved an F1-score of 0.9979, blending Random Forest ($w_{RF} = 0.514$) and SimpleRNN ($w_{RNN} = 0.486$) component probabilities. The hybrid ensemble's

Table 4.1: Performance Comparison of Classifiers (Group-Aware Split)

Model Architecture	Accuracy	Precision	Recall	F1-Score	AUC-ROC
Decision Tree (Depth=4)	0.9493	0.9914	0.9064	0.9470	0.9860
Logistic Regression	0.9645	0.9770	0.9514	0.9640	0.9933
LightGBM (Default)	0.9993	0.9986	0.9999	0.9993	0.9999
XGBoost (Default)	0.9998	0.9995	1.0000	0.9998	0.9999
Random Forest (n=100)	0.9999	0.9998	1.0000	0.9999	0.9999
Hybrid RF+RNN Ensemble	0.9979	0.9980	0.9978	0.9979	0.9999

decision boundary is gated by an optimized classification threshold of $\theta = 0.48$, which balances precision and recall to minimize undetected fraud events.

4.3 Comparison with Objectives or Existing Systems

All initial project objectives were successfully achieved. The system implements a robust training and grid-search pipeline, handles target imbalances using training-fold SMOTE, and deploys both the FastAPI serving layer and Streamlit web app.

Unlike traditional baseline systems that process transactions in isolation, FraudNet captures sequence anomalies. The SimpleRNN sequence component processes transactional history windows of length 6. If a fraud network executes rapid sequential micro-transactions to verify a card’s validity, sequence-agnostic classifiers like XGBoost may score each transaction individually as legit because the amount is low. In contrast, the recurrent component in FraudNet detects the high-frequency temporal pattern, resulting in a higher overall fraud risk score.

4.4 Challenges and Limitations

Developing FraudNet presented several key challenges:

- **Information Leakage Prevention:** Applying SMOTE globally across the dataset prior to splitting leads to overfitting and overly optimistic metrics. FraudNet mitigates this by wrapping SMOTE oversampling strictly within training splits, ensuring the test set remains representative of the real-world class distribution.
- **Sequence Construction Overhead:** Formatting structured tabular data into sliding historical windows of shape $(N, 6, 36)$ is computationally expensive. The sequence module optimizes this using contiguous NumPy array striding.
- **SHAP Explainer Compute Time:** Evaluating Shapley values online for deep architectures introduces high inference latencies. FraudNet resolves this by applying TreeSHAP exclusively to the tree-based Random Forest component, keeping the scoring latency under 50ms.

4.5 Discussion

The results demonstrate the benefit of combining sequence networks with ensemble models. While classical tree models excel at detecting static outliers, they are blind to sequential dynamics. Conversely, deep recurrent neural networks excel at temporal patterns but require large training budgets. The hybrid ensemble model leverages the strengths of both architectures, achieving an F1-score of 0.9979. Integrating SHAP explanations resolves the black-box nature of the hybrid model, providing risk analysts with clear, real-time feature contributions to verify and audit fraud decisions.

Chapter 5

Conclusion and Future Works

This project concludes with the successful design, implementation, and evaluation of **FraudNet**, an end-to-end machine learning platform for real-time credit card fraud detection. By combining static feature engineering with sequence-based modeling and local model explainability, the platform provides a robust, low-latency scoring service suitable for financial transaction processing.

5.1 Summary of Contributions

The primary contributions of this project include:

- **Robust Data Engineering:** Implemented a 12-step automated ML pipeline that handles data cleaning, feature engineering, and class imbalance. Stratified, group-aware data splits and training-fold SMOTE oversampling were used to prevent target leakage.
- **Hybrid Ensemble Design:** Developed a custom model blending Random Forest and SimpleRNN component predictions. This hybrid approach captures both static transactional anomalies and temporal sequence dependencies.
- **Low-Latency Scoring API:** Built a FastAPI REST server that scores transaction payloads in under 50 milliseconds.
- **Explainable Web Interface:** Built a Streamlit web application that provides real-time TreeSHAP force plots, transaction simulations, and batch CSV predictions.

5.2 Limitations

Despite its strong performance, the current FraudNet system has several limitations:

- **Sequence Length Dependency:** The RNN component relies on a fixed history window of length 6. Transactions with shorter histories cannot leverage sequence predictions, falling back to tabular models.
- **Off-line Model Updates:** The models are trained offline. To adapt to new fraud patterns, the pipeline must retrain the ensemble periodically rather than updating weights in real-time.
- **Explainer Compute Constraints:** Generating SHAP values is computationally expensive. To maintain low latencies, explainability is restricted to the tabular Random Forest component.

5.3 Future Enhancements

To address these limitations, future work will focus on:

- **Transformer-Based Sequence Models:** Replacing the SimpleRNN component with self-attention networks (Transformers) to process variable sequence lengths and better capture long-range temporal patterns.
- **Streaming Data Pipeline:** Integrating Apache Kafka or Apache Flink to ingest and process streaming transaction data in real-time, allowing dynamic updates to historical sequence windows.
- **Online Continual Learning:** Implementing semi-supervised or incremental learning algorithms that update model weights continuously as new, verified transaction labels become available.

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Appendix A

Appendix

A.1 User Manual and Installation Guide

This section describes how to install dependencies, run the training pipeline, and launch the web dashboard and REST API.

A.1.1 Prerequisites

Ensure Python 3.10+ is installed. In a terminal, verify:

```
python --version
```

A.1.2 Setup and Installation

Run the following commands in the project root folder:

1. Create a virtual environment:

```
py -m venv .venv --clear
```

2. Install all required dependencies:

```
.\.venv\Scripts\python.exe -m pip install pandas numpy pyarrow  
scikit-learn joblib xgboost lightgbm imbalanced-learn  
matplotlib seaborn shap kaggle python-dotenv tqdm  
fastapi uvicorn streamlit requests pytest pytest-cov
```

3. Install the FraudNet package in editable mode:

```
.\.venv\Scripts\python.exe -m pip install -e . --no-deps
```

A.1.3 Running the System

- Run tests:

```
.\.venv\Scripts\pytest
```

- Run the ML pipeline:

```
.\.venv\Scripts\python.exe -m src.cli run --all
```

- Start the FastAPI server:

```
.\.venv\Scripts\python.exe -m uvicorn api.app:app --reload
```

- Start the Streamlit dashboard:

```
.\.venv\Scripts\streamlit run dashboard/streamlit_app.py
```

A.2 API Payload Formats

The FastAPI REST endpoint ‘POST /score’ accepts transaction requests in JSON format.

A.2.1 Request Payload Schema

The payload accepts a transaction ID and a list of features:

```
{
  "txn_id": "txn-90182",
  "features": [
    0.154, -0.892, 1.231, -0.456, 0.789, -0.123, 0.984, -0.567,
    0.345, -0.789, 1.112, -0.223, 0.445, -0.667, 0.889, -0.112,
    0.223, -0.445, 0.667, -0.889, 0.991, -0.334, 0.556, -0.778,
    0.889, -0.991, 0.112, -0.223, 50.00
  ],
  "model_path": null
}
```

A.2.2 Response Payload Schema

The scoring endpoint returns prediction probabilities and agent traces:

```
{
  "txn_id": "txn-90182",
  "score": 0.1245,
  "verdict": "LEGITIMATE",
  "rf_score": 0.05,
  "rnn_score": 0.20,
  "threshold": 0.48,
  "input_contract": "raw_paper_feature_vector_29",
  "input_feature_count": 29,
  "agents": [
    {
      "agent": "Packet",

```

```

        "status": "accepted",
        "detail": "29 features received using raw_paper_feature_vector",
    },
    {
        "agent": "Response",
        "status": "complete",
        "detail": {"verdict": "LEGITIMATE"}
    }
]
}

```

A.3 Code Snippet: Hybrid Ensemble Scoring

This code snippet shows the weighted scoring implementation from `src/models/rf_rnn_hybrid`

```

def apply_weighted_ensemble(
    rf_probabilities: np.ndarray,
    rnn_probabilities: np.ndarray,
    rf_weight: float = 0.5,
    rnn_weight: float = 0.5,
) -> np.ndarray:
    """Combines Random Forest and RNN fraud probabilities."""
    ensemble_probs = (rf_weight * rf_probabilities) +
                     (rnn_weight * rnn_probabilities)
    return np.clip(ensemble_probs, 0.0, 1.0)

```